
POLAND 2014

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1. Overview of the tax-benefit system

Unemployed persons receive benefits in a fixed amount for a period from 180 to 365 days. In cases provided for in the law (and in special cases after the loss of the unemployment benefit) they may receive social assistance benefits (income related) - facultative temporary benefits (5-6 months). Besides, social assistance plays a role of the “last resort benefit”. Housing allowances function outside of the social assistance system and require fulfilment of income criterion. The income criterion also applies in the case of family and maternity benefits.

The tax system allows for joint taxation of spouses, and in the case of single parents the incomes that are taxable in accordance with the progressive tax scale can benefit from calculating the income on the preferential basis, i.e. assess the tax at the double amount of the tax calculated on half of the income. Incomes (revenues) on which lump tax is paid in and the incomes achieved by the adult child are being excluded from the sum total of those incomes.

As concerns social benefits, only pension benefits (retirement and disability pensions) and unemployment benefits (as well as pre-retirement allowances and bridging benefits) are taxable.

1.1. Average worker wage (AW)

The 2014 AW level is PLN 42 360 (Secretariat Estimate).¹

2. Unemployment benefit

2.1 Conditions for receipt

The right to unemployment benefit is granted only to a registered unemployed person.

2.1.1 Employment conditions

Pursuant to the Act of 20 April 2004 on employment promotion and labour market institutions (Dz. U. of 2013, item 674, as amended), the right to the benefit, as a rule, is granted to the unemployed person for each calendar day from a day of registration in an appropriate poviát (district) labour office, if:

- 1) there are no proposals of suitable work, work practice (internship), apprenticeship for adults, training, intervention works or public works (i.e. subsidized job) and or
- 2) within 18 months directly before the day of registration, jointly for the period of at least 365 days:
 - they were employed and received remuneration in the amount of at least the minimum remuneration for work for which contributions are paid to the Labour Fund; the abovementioned period shall not include non-paid leaves lasting longer than 30 days in total,
 - they worked under the contract on home based work, and obtained income in the amount of at least the minimum remuneration for work,
 - they provided services under an agency contract or commission contract of or other contract on the provisions of services, or worked on performing these contracts, while the contribution assessment base for social insurance and the Labour Fund amounted to at least the minimum remuneration for work calculated for a full month period they paid social insurance contributions in respect of the non-agricultural activity or cooperation, while the contribution assessment base for social insurance and the Labour Fund amounted to at least the minimum remuneration for work (the period of running the nonagricultural activity by women aged over 55 and men aged over 60, for which these persons are released from payment contributions for Labour Fund, is included into the period entitling for acquiring the right for unemployment benefit),
 - they performed work during the pre-trial detention or when serving the custodial sentence, while the contribution assessment base for social insurance and the Labour Fund amounted to at least the minimum remuneration for work,
 - they performed work in agricultural production cooperative, agricultural circles cooperative or agricultural services cooperatives, as a member of the cooperative, while the contribution assessment base for social insurance and the Labour Fund amounted to at least the minimum remuneration for work,

¹ The average wage in national economy in the 2011 was PLN 40.794,24 (Central Statistical Office, (www.gus.gov.pl). AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2007-2008, OECD, 2008, part 4, sections 2 and 3.

- they paid contribution to the Labour Fund in connection with employment or other gainful work abroad for a foreign employer in the EU/EEA countries and countries that are not parties to the EEA Agreement, which have concluded agreements with the European Community and its Member States, amounting to 9.75% of average salary for each month of employment,
- they were employed abroad and came to the Republic of Poland as a repatriate,
- they were employed, performed duty or other gainful employment, received remuneration or obtained income in respect of which contributions are to be paid for the Labour Fund.

The period of 365 days includes the periods of:

- 1) compulsory military service, extended military service, military training, preparatory service, trainee service, contracted professional military service, military drill, temporary military service or military service in the case of mobilization and during the war, and obligatory service performed in civil defence and alternative service, as well as service as an officer;
- 2) parental leave granted in accordance with separate regulations;
- 3) receiving disability pension due to incapacity to work or perform duty, training disability pension and periods of receiving sickness allowance, maternity allowance, allowance in the amount of maternity allowance of rehabilitation benefit after the termination of employment, performing other gainful work or non-agricultural activity, if the assessment base for these allowances and the benefit, including the amount of social insurance contributions, amounted to at least the minimum remuneration for work;
- 4) not specified above, for which the social insurance contributions and the Labour Fund were paid, if the contribution assessment base amounted to at least the minimum remuneration for work;
- 5) periods for which compensation was granted due to the illegal termination of the employment relationship or service relationship by the employer, and the period for which the compensation was granted to the employee due to shortening term of notice;
- 6) rendering services on the basis of activation agreement, referred to in the Act of the 4th of February 2011 on care over children at the age up to 3 years old;
- 7) receiving family pension in the situation when the person entitled to disability pension and, at the same time, fulfilling the conditions entitling for family pension – makes a choice for family pension;
- 8) performing personal care of a child by persons referred to in the Act of social insurance system.

In some cases the right to the unemployment benefit can be granted just after specific period of time, i.e.:

1) 120, 180 or 270 days respectively (depends if it's first, second or third and every next refusal), if the unemployed person;

a) refused – with no justified reason – to accept a proposed suitable employment, other gainful work, training, work practice (internship), apprenticeship for adults, to perform intervention work, public work, to undergo medical or psychological examinations aimed at establishing the ability to work or participate in another form of assistance defined in the Act on employment promotion (...),

b) after the referral did not attend the training, apprenticeship for adults, work practice (internship), execution of works of social benefit, or other forms of assistance specified in the Act on employment promotion (...);

2) 90 days following the registration date if the unemployed person:

a) within 6 months of registration with the poviats labour office, terminated the employment relationship or the service relationship by giving a notice or by mutual (common) agreement,

In this case circumstances which justify resignation from the work are:

- in case the unemployed within the period of six months before the registration terminated the employment relationship or the service relationship under a common agreement – if the common agreement was a result of bankruptcy, liquidation of the employer or reduction in employment for reasons concerning the plant or the termination of the employment relationship or the service relationship was a result of a change of the place of residence,

- in case the unemployed within the period of six months before the registration terminated the employment relationship or the service relationship by giving notice – if the notice was a result of a change of the place of residence,

- the termination of the agreement by the employee in the mode of Article 55(1)¹ of the Act of 26 June 1974 - Labour Code (the employer perpetrated a serious violation of fundamental duties towards the employee). At the same time – despite it does not directly result from provisions of the Act on employment promotion (...) – the reason justifying the termination of the employment relationship in the above-mentioned mode is a situation, where a medical certificate proving harmful impact of the work performed on the health of the employee is issued, and the employer does not move the employee to perform another work, appropriate due to the state of health and professional qualifications of that employee, on the day indicated in that medical certificate.

b) has registered as the unemployed person within the period of business suspension reported to the register of economic activities;

3) 180 days following the registration date, if the unemployed person:

a) within 6 months before the registration in the poviát labour office has caused the employment relationship or the service relationship to be terminated through his/her fault without prior notice,

b) within 6 months before the registration in the poviát labour office has caused the employment relationship, concluded on the base of referral by poviát labour office to the employer, who for hiring him/her received grant for telework, activation benefit or bailout of the remuneration, to be terminated before the time period stated in the Act of employment promotion (...);

4) after the period for which the unemployed has received:

a) a benefit provided for in other regulations in the form of one-off money equivalent of miner's leave, one-off social severance payment, allowance severance payment, financial severance payment after social allowance, one-off conditional severance payment or financial unconditional severance payment,

b) has received compensation for reduced employment termination notice period;

5) after the period of postgraduate training for which the unemployed person has received a monthly financial benefit amounting to more than half of the minimum remuneration for work.

6) All above mentioned periods shorten the period of receiving the unemployment benefit.

There are no job-search conditions for becoming and remaining entitled to unemployment benefits apart from:

- being registered as unemployed, obligation to report to the poviát labour office within the time prescribed by the office to accept a proposal for suitable work or other forms of assistance proposed by the office, or for any other purpose arising from the Act on employment promotion (...) and specified by the labour office, including confirmation of readiness for work.,

The entitlement to the unemployment benefit generally is deprived when the entitled person loses the status of the unemployed person.

There are possibilities to re-apply for benefits once they have expired, provided that the conditions concerning the benefit eligibility period (defined above) are fulfilled. According to poviat labour office experience it is common that the unemployed re-apply for benefits as soon as they acquire the right to do it, but unfortunately there are no detailed data describing this process (there are data concerning the persons who were registered as unemployed for at least second time from 1990 - in 2013 79.37 % in 2014 81.03% of inflow to RU were people registered for the second or more time. Among them in 2013 22.8% in 2014 20.7% were entitled to UB, compared to 20.63% in 2013 and 18.97% in 2014 of unemployed registered for the first time).

2.1.2 *Contribution conditions*

Contribution to the Labour Found is paid by the employer. The contribution equals 2.45 percent of the basis for the social security contributions.

2.2 Calculation of benefit amount

2.2.1 *Calculation of gross benefit*

In 2008 unemployment benefits were subject to indexation by consumer prices growth index in previous year. The monthly level of unemployment benefit in recent years amounted to:

- From 1 September 2001 to 31 August 2002 – PLN 476.70.
- From 1 September 2002 to 31 August 2003 – PLN 498.20.
- From 1 September 2003 to 28 February 2004 – PLN 503.20.
- From 1 March 2004 to 31 May 2005 – PLN 504.20.
- From 1 June 2005 to 31 May 2006 – PLN 521.90.
- From 1 June 2006 to 31 May 2007 – PLN 532.90.
- From 1 June 2007 to 31 May 2008 – PLN 538.30.
- From 1 June 2008 to 31 May 2009 – PLN 551.80.
- From 1 June 2009 to 1 January 2010 – 575.00.
- From 1 January 2010 to 31 May 2010 – 717 PLN in first three months of UB collection, 563 PLN - afterwards.
- From 1 June 2010 to 31 May 2011 – 742,10 PLN in first three months of UB collection, 582,70 PLN - afterwards.
- From 1 June 2011 – 761,40 PLN in first three months of UB collection, 597,90 PLN – afterwards.
- From June 2012 – 794,20 PLN in first three months of UB collection, 623, 60 PLN afterwards.
- From 1 June 2013 – 823,60 PLN in first three months of UB collection, 646,70 PLN afterwards.
- From 1 June 2014 – 831,10 PLN in first three months of UB collection, 652,60 PLN afterwards.

Additionally the benefits are adjusted according to the length of the unemployment benefit eligibility period:

- persons having less than 5 years of unemployment benefit eligibility period receive 80 per cent of benefit,
- persons having from 5 to 20 years of unemployment benefit eligibility period receive 100 per cent of benefit,
- persons having more than 20 years of unemployment benefit eligibility period receive 120 per cent of benefit.

2.2.2 *Income and earnings disregards*

The unemployed person cannot receive monthly income in the amount exceeding the 50 percent of the minimum gross remuneration (excluding income from interest rates or income from savings on bank accounts). Since the 1st of January 2013 it amounts to 1600 PLN per month, and from the 1st of January 2014 the minimum gross remuneration equalled to 1680 PLN per month.

2.3 *Tax treatment of benefit and interaction with other benefits*

Taxation rate is 18 per cent of gross benefit.

Yearly benefit = gross benefit – income tax – health insurance

Where:

income tax = (gross benefit * 18% - 556.02) – gross benefit * 7,75% - the income tax cannot be lower than 0, if the result of the deduction is negative number then it is assumed that income tax equals 0

health insurance = gross benefit * 9%

In the case of unemployed persons the taxable income and gross income (unemployment benefit) have the same value. The old-age pension insurance and disability pension insurance contributions are covered by the Public Employment Service.

Please see conventions described in point 10.1.

2.4 *Benefit duration*

The period of receiving the benefit is:

1) 180 days – for the unemployed residing in the area of the poviát during the period of receiving of the benefit, if the unemployment rate in that area on the day 30 June of the year preceding the day of acquiring the right to the benefit did not exceed 150% of the average unemployment rate in the country;

2) 365 days – for the unemployed:

a) residing in the area of the poviát during the period of receiving of the benefit, if the unemployment rate in that area on the day 30 June of the year preceding the day of acquiring the right to the benefit exceeded 150% of the average unemployment rate in the country or

b) who are over 50 years of age and have at the same time at least 20-year period entitling to the benefit, or

c) who have at least one child to support up to 15 years of age, and the spouse of the unemployed is also unemployed and has lost the right to the benefit due to expiration of the period of receiving thereof after the day of acquiring the right to the benefit by that unemployed, or

d) who are single person bringing-up at least one child up to 15 years of age.

From 2010 the unemployment benefit is paid at a higher rate for the first three months and after then decreases to an amount similar to that observed in previous years.

2.5 *Treatment of particular groups*

The Act on Employment Promotion and Labour Market Institutions defines six groups of people at the special situation on the labour market (changes in force from 27th of May 2014)

- young unemployed (aged 30 or less),
- long term unemployed (the unemployed spell exceeds 12 months within last 2 years)
- the unemployed aged over 50,
- the unemployed receiving social assistance benefit
- the unemployed with at least one child aged up to 6 years of age or at least one child with disabilities aged up to 18 years,
- the unemployed with disabilities.

The unemployed who belong to these groups is given the priority in referral to participation in special programs

2.5.1 *Young persons*

The young unemployed can participate in all ALMP offered by local labour office. However, in case of internship the duration of this measure may be longer than in case of other unemployed i.e. 12 months compared to 6 months. This rule also applies to unemployed up to 30 years of age.

Young unemployed receive scholarships due to participation in ALMP on a regular basis.

Since 27th of May 2014, when the amendment to the Act on employment promotion and labour market institutions was implemented, the poviats labour office, within 4 months from the day of registration as an unemployed person in the age up to 25 years, is obliged to offer him/her the proposal of employment or other gainful work, participation in training, work practice (internship), apprenticeship for adults or employment for intervention works or public works. It means this period has been shortened from 6 to 4 months. A number of new activation measures has also been introduced, including measures dedicated directly to the unemployed below 30 years old of age, i.e. training voucher, work practice (internship) voucher, employment voucher, settlement voucher or reimbursement of employers' social insurance contribution for the unemployed below 30 years of age, undertaking their first job.

Training voucher is a form of support which constitutes a guarantee of sending an unemployed for training indicated by him and covering the costs of the training. It is possible to finance with the voucher, up to 100% of the average salary the costs of one or a few trainings, including costs of qualification vocational course and courses providing professional qualifications, costs of required medical or psychological examination and – in the form of a lump sum – costs of transport and accommodation during the course if classes are conducted outside the place of residence.

Work practice voucher is a form of support, which guarantees referring the unemployed for a work practice (internship) with an employer indicated by the unemployed for a period of six months, if the employer undertakes to employ an unemployed after the work practice (internship) for a period of six months. An employer who will hire an unemployed for a period of six months will receive a bonus of PLN

1500. As a part of the work practice voucher it is possible to finance the costs of travel to and from the place of practice – in the form of a lump sum and the costs of necessary medical or psychological examinations.

Employment voucher is a form of support addressed to the unemployed under 30, which constitutes for the employer the guarantee of refund for a period of 12 months the part of remuneration cost, including social insurance premiums in the amount of unemployment benefit, in connection with the employment of the unemployed, to whom the voucher was granted by the poviát labour office. The employer is obliged to continue to employ the unemployed for at least 6 months after the end of the refund period.

Voucher for settlement is a form of support addressed to the unemployed taking up employment, other gainful work or business activity outside the place of current residence. To receive the financial support, the amount of which will reach 2 times the average salary intended to cover housing costs associated with taking up the job, three conditions must be met:

- employment taken is subject to social insurance and a person receives a monthly gross salary or monthly income for it, amounting to at least the minimum wage;
- activated person remains in employment or conduct business activity for at least six months, and
- distance from the current residence to the place where the unemployed will live because of taking a new job is at least 80 km or the travel time to this place and return to the place of current residence exceeds at least three hours a day in total.

Reimbursement of employers' social insurance contribution for the unemployed below 30 years of age, undertaking their first job is an instrument which constitutes for the employer the guarantee of refund, for a period up to 12 months, costs of social insurance premiums in the amount determined in the contract between poviát labour office and the employer, not exceeding 50% of the minimum wage. The employer is obliged to continue to employ the unemployed for 6 months after the end of the refund period.

Additionally, in case of hiring the unemployed up to 30 years of age, referred by the poviát labour office, employers are exempt from obligation of paying contribution to the Labour Fund in first 12 months of employment. This exemption applies also to the contributions to the Guaranteed Employee Benefits Fund.

2.5.2 *Older workers*

As of 1 August 2004 the responsibility for pre-retirement benefits and pre-retirement allowances (also in case of granting and payment of these benefits) was transferred from local labour offices to the Social Insurance Institution². The pre-retirement allowance can be granted to a person who had lost his/her job, who was registered as unemployed for at least 6 months and was receiving the unemployment benefit (for at least 6 months) and who:

- is at least 56 (women) or 61 (men) years old and has insurance record to receive an old-age pension of at least 20 or 25 years respectively who was employed for more than 6 months by the last employer and his employment contract was terminated due to liquidation of the employer or it's insolvency or;

² Act of Law of 30th of April 2004 on pre-retirement benefits (Journal of Laws No. 120 item 1252).

- is at least 55 (women) or 60 (men) years old and has insurance record to receive an old-age pension of at least 30 or 35 years respectively who was employed for more than 6 months by the last employer and his employment contract was terminated due to difficulties of their employer;
- is at least 56 (women) or 61 (men) years old and has insurance record to receive an old-age pension of at least 20 or 25 years respectively and who runs his own company and paid social security contributions without any break for at least 24 months before he/she declared bankruptcy;
- has lost the entitlement to disability pension (that was previously granted for more than 5 years) and within 30 days registered in local PES as unemployed and who was at least 55 (women) or 60 (men) years old at the day of lost the entitlement and has insurance record to receive an old-age pension of at least respectively 20 or 25 years;
- has insurance record to receive an old-age pension of at least respectively 35 or 40 years and was employed for more than 6 months by the last employer and his/hers employment contract was terminated due to difficulties of their employer;
- has insurance record to receive an old-age pension of at least respectively 34 or 39 years and was employed for more than 6 months by the last employer and his/hers employment contract was terminated due to liquidation of the employer or its insolvency.

The pre-retirement allowance is granted if he/she meets all of the following requirements:

- is still registered as the unemployed person,
- within the period of receiving the unemployment benefit did not refuse without justified reason a proposal of suitable employment or other gainful work or subsidised jobs and public works,
- fills an application for the pre-retirement benefit within 30 days from the day of issue by the poviát labour office a document certifying the 6-month period of receiving the unemployment benefit.

As from 1 August 2004 the benefit amounts to PLN 670 and will be subject to indexation. The benefit together with additional income may not exceed a half of average monthly remuneration from the previous year proclaimed by the President of the Central Statistical Office, and additional income may not be higher than 70% of this remuneration. The pre-retirement allowance amounts to:

- PLN 670.00 – 1 August 2004 – 28 February 2006,
- PLN 711.54 – 1 March 2006 – 29 February 2008,
- PLN 757.79 – 1 March 2008 – 28 February 2009,
- PLN 804.02 – 1 March 2009 – 28 February 2010,
- PLN 841.17 – 1 March 2010 – 28 February 2011,
- PLN 867,25 – 1 March 2011 – 29 February 2012,
- PLN 938,25 – 1 March 2012 – 28 February 2013,
- PLN 975,78 – 1 March 2013 – 28 February 2014,
- PLN 991,39 – 1 March 2014 – 28 February 2015

Unemployed people aged 50 years and more can participate also in all active measures offered by poviát labour office and then receive benefits linked to this measures (i.e. trainings, internships, apprenticeship or start education in a school for adults).

As it was stated above (2.5), the unemployed over 50 years old are considered as a group at the special situation on the labour market, to which is given the priority in referral to participation in special programs.

Moreover, based on Art. 104b paragraph 2 of the Act on employment promotion (...), employers are exempt from the obligation of paying contributions to the Labour Fund for employed aged over 55 years

for women and at least 60 years for men. In addition, based on Art. 104b paragraph 1 of the Act on employment promotion (...), in case of hiring unemployed registered in labour office aged over 50, employers are exempt from obligation of paying that contribution in first 12 months of employment. This exemption applies also to the contributions to the Guaranteed Employee Benefits Fund.

Since 27th of May 2014, when the amendment to the Act on employment promotion (...) was implemented, the new instrument was introduced, i.e. co-financing of wages for hiring unemployed over 50 years old. This co-financing is granted from the Labour Fund for entrepreneurs or employers who hire unemployed over 50 years old for the period 12 or 24 months period (duration depends on employee age). After that period employer has to hire this person for at least half of the period on which they get financial support. The support cannot exceed 50% of minimum wage.

There was also developed the National Training Fund (NTF) from the resources of the Labour Fund, with the objective to finance training and education of employees and employers. In the first 2 years of the existence of the NTF, i.e. 2014-2015, the support from this Fund is dedicated to the older employees and employers – over 45 years of age.

2.5.3 *Unskilled workers*

The unskilled workers are defined as persons with educational attainment ISCED 1, ISCED 2 or ISCED 3C long (general upper-secondary schools – licea ogólnokształcące).

The low-skilled unemployed (i.e. without certified qualifications to perform any occupation) who take up education in the upper-secondary school for adults or who take up evening or extramural tertiary studies are granted scholarship amounting to 100 percent of the unemployment benefit for 12 months (from the date of beginning of the education). The scholarship may be prolonged until graduation. Scholarships are means-tested (family income criterion within social assistance legislation). The loss of the status of unemployed or discontinuation of education means also the loss of the eligibility to the scholarship. If a person takes up work during the education and continues it, the payment of the scholarship continues in amount of 20 percent of the UB. Training organised by poviát labour office can take up to 6 months, and in cases justified by the training programme for a given occupation no longer than 12 months, but in the cases of persons without vocational qualifications, training can take up to 12 months, and in cases justified by the training programme for a given occupation no longer than 24 months.

Unskilled or low-skilled unemployed can participate also in other active labour market measures offered by poviát labour office and then receive benefits linked to this measures (e.g., apprenticeship for adults, work practice (internship)).

2.5.4 *Lone parents with children aged 18 years or less*

The act of employment promotion and labour market institutions does not concern institutions responsible for childcare.

- The costs of childcare (only in case of children aged 7 or less) may be reimbursed when an unemployed takes up a work or is referred to work practice (internship), apprenticeship for adults or training and monthly income for this is less than minimum wage. The reimbursement amounts up to 50 percent of the unemployment benefit for every child. It is paid for the period up to 6 months.

If the unemployed is referred to work practice (internship), apprenticeship for adults or training reimbursement can be obtained for the whole training period. Similarly the costs of care for other dependent members of the family may be reimbursed.

Since 27th of May 2014, when the amendment to the Act on employment promotion (...) was implemented, unemployed single person bringing-up at least one child up to 15 years of age – just for this reason – is entitled to the unemployment benefit for the longer period of 365 days.

Moreover, this amendment introduced new instruments, i.e. grant for telework and activation benefit, which are granted to the employer for hiring, referred by the poviát labour office, the unemployed parent or unemployed taking care of dependent person, who gave up employment for the reason of taking care of the child or dependent person.

Additionally, employers shall not pay contributions to Labour Fund for employees returning from maternity leave, additional maternity leave, adoption leave, additional adoption leave, parental leave or childcare leave during a period of 36 months commencing as of the first month after returning to work.

It is necessary to point out that grant for telework, activation benefit and exempt from obligation to pay contribution to the Labour Fund are instruments not dedicated specifically for single parents.

3. Unemployment assistance

None

4. Social assistance

4.1 Conditions for receipt

A. Benefits from social welfare system

General principles: to have insufficient means of living under income criteria (542 PLN single; 456 PLN family per capita) and to meet social criteria.

Income³ criteria per capita monthly (in PLN)	
From May 2004	
Single person family	461
At least two-persons Family	316
From October 2006	
Single person family	477
At least two-persons Family	351
From October 2012	
Single person family	542
At least two-persons Family	456

Social criteria:

Main criteria for permanent benefit: full inability to work because of age or disability.

Main criteria for temporary benefit: long term illness, poverty, orphanage, homelessness, unemployment. Other reasons for social benefit support are, family violence, need to protect motherhood and large families, inability to provide for the care of children or a household, especially in a large or incomplete families, difficulties in adjustment to life of youth raised in care and education centers, difficulties in integration of refugees, difficulties in adjusting to life upon the release from penal institutions, alcohol and drug addiction, natural ecological disaster, crisis situation.

Simultaneously the right to permanent or temporary allowance belongs only to specific kinds of beneficiaries. In other cases there is discretionary periodic assistance (cash). It concerns purpose benefits (e.g. for the coverage of costs of purchases of food, medicines and treatment, fuel, clothing, daily necessities, minor apartment and damage repairs or funeral costs).

B. Benefits from Social Insurance Institution – social pension

Social pension are paid by the Social Insurance Institution⁴ to adult person due to inability to work that occurred in childhood (before 18 years old) or during studies.

³ Net income (after subtracting the social security contribution, income tax and general health insurance contribution)

⁴ Since October 2004, social pension was excluded from social welfare system.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

A. Benefits from social welfare system

The modelling assumes the person receives the “temporary benefits” as these are more appropriate for unemployed people.

Permanent benefits

Permanent benefits – the level stated in the Act on Social Assistance and the level= family income criterion per capita – family income per capita,

Maximum benefit: 529 PLN monthly, minimum benefit = 30 PLN

To be eligible one must have disability of significant or moderate degree or be unable to work due to age, whereby the age limit is 60 for women and 65 for men.

Temporary benefits

Temporary benefits – the final level depends on discretionary administrative decision, might be less than maximum:

Maximum benefit = family income criterion per capita – family income per capita, but not more than 418 PLN monthly, minimum benefit = 20 PLN

In 2012 the minimum amounts of the temporary benefit was as follows:

- for a person keeping a single household – 50% of the difference between the criterion of income of a person keeping a single household and the income of that person
- for a family – 50% of the difference between the criterion of income of the family and the actual income of that family.

B. Benefits from Social Insurance Institution – social pension

The amount of social pension equals to 84% of minimum disability pension:

Between March 2008 and February 2009	PLN 534,48 per month
Between March 2009 and February 2010	PLN 567,08 per month
Between March 2010 and February 2011	PLN 593,28 per month
Between March 2011 and February 2012	PLN 611,67 per month
Between March 2012 and February 2013	PLN 671,31 per month
Since March 2013	PLN 698,17 per month

Since March 2014	PLN 709,34 per month
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4.2.2 *Income and earnings disregards*

No disregards. Income test on net income.

4.3 ***Tax treatment of benefit***

Social assistance benefits are not taxable. Social pensions are subject to personal income tax and health care contributions.

4.4 ***Benefit duration***

It depends on kind of benefit and of person's social situation.

Permanent – unlimited (no time limit stated in administrative decision) , temporary – benefit duration fixed according to the beneficiary situation and after the case examination by the local social assistance centre.

4.5 ***Treatment of particular groups***

4.5.1 *Young persons*

None

4.5.2 *Older workers*

None

5. Housing benefits**5.1 Conditions for receipt**

Housing benefits are paid by local authorities to the low income households (the housing benefits are paid to the owners of the houses, flats and tenant.).) A single person must have gross income under 175 per cent of the minimum retirement pension and families must have gross income equal to less than 125 per cent of the minimum retirement pension per capita. If the income exceeds these limits and the housing benefit is higher than the surplus of the income criteria the benefit is paid (than the housing benefit equals the difference between the income surplus and the achievable housing benefit). Housing benefits are outside the social assistance system.

	Income criteria (monthly, PLN)		
	June 2002 – February 2003	March 2003 – February 2004	March 2004 – December 2004
Single household (160% minimum pension)	852,70	884,20	900,13
Per capita for family (110% minimum pension)	586,20	607,89	618,84
	January 2005 – February 2006	March 2006 – February 2008	March 2008 – February 2009
Single household (175% minimum pension)	984,52	1045,60	1113,51
Per capita for family (125% minimum pension)	703,23	746,83	795,36
	March 2009 – February 2010	March 2010 – February 2011	March 2011 – February 2012
Single household (175% minimum pension)	1181,43	1236,01	1274,31
Per capita for family (125% minimum pension)	843,88	882,86	910,22
	March 2012 – February 2013	March 2013 – February 2014	March 2014- February 2015
Single household (175% minimum pension)	1398,56	1454,51	1479,79
Per capita for family (125% minimum pension)	998,97	1038,94	1055,56

In 2013 the average housing benefit (for one flat) was equal to 201,06 PLN⁵. Since 01.01.2004 these benefits are in communes competence only.

5.2 Calculation of benefit amount**5.2.1 Calculation of gross benefit**

⁵ Data of the Polish Central Statistical Office

Benefit is paid based on the difference between what is considered a reasonable payment for a family and actual housing costs. Housing costs cannot exceed a maximum amount, calculated based on the size of the family and the size of the flat.

The reasonable payment for a house is based on the size of the house, as follows:

- 35 m² – one person
- 40 m² – two people
- 45 m² – three people
- 55 m² – four people
- 65 m² – five people
- 70 m² – six people
- each additional person – 5 m² (15 m² disable person in a wheelchair or with the requirement of an independent room)

The area of the house cannot exceed these limits by more than 30%. To calculate the expected housing costs, calculate the cost per square meter of the house, and then multiply this cost per metre by the expected house size. As an example, a single person in a 36m² house paying 360 per month would have a cost per metre of PLN 10. PLN 10 times the expected house size (35m²) gives us an expected housing cost of PLN 350.

The household has to cover the housing expenses up to:

- 15% of household income – in case of single person households
- 12% of household income – 2 – 4 person households
- 10% of household income – 5 and more person households

Thus if in the above example the individual earns PLN 1000 they would be expected to pay 15% of 1000, or PLN 150. The housing benefit would thus be the expected housing cost (PLN 350) minus their expected contribution (PLN 150), or PLN 200.

5.2.2 *Income and earnings disregards*

No disregards

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

5.4 *Treatment of particular groups*

None.

6. Family benefits

The system of family benefits is regulated in the Act on Family Benefits of 28 November 2003 (Polish Journal of Laws of 2014, No. 80, item 559, as amended). Act sets out income criteria which entitles to receive family benefits and caring benefits. Every 3 years there is a verification of the amounts of family benefits and income criteria. The recently verification, which raises criteria and amount of family allowance (verification wasn't related to other family benefits) took place on 1 November 2012.

6.1 Conditions for receipt

Parents, single parents or legal guardians, or actual guardians (a person who takes care of a child, provided that he/she has applied to a family court to adopt the child) are entitled to family allowance and supplements. The claimant must have a dependent child aged under 18, or under 21 if still in education, or 24 if disabled and still in education.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Family benefits – means tested:

Since 1 November 2012:

- *PLN 77 monthly for a child until the child will reach 5 years of age,*
- *PLN 106 monthly for a child in the age of 5 up to 18 years,*
- *PLN 115 monthly for a child in the age of 18 up to 24 years.*

Within family benefits there are following supplementary benefits available:

- 1) Child care supplement in the time of parental leave – PLN 400 – per month (for max 24 months).
- 2) Supplementary allowance for single parents – PLN 170 – per child per month, to a maximum of PLN 340 per month. Lone parents with disabled children can receive PLN 250 per disabled child per month, to a maximum of PLN 500 per month. The allowance can receive also a person under 24 if still in education whose both parents are deceased.
- 3) Supplementary allowance on education and rehabilitation of disabled children – PLN 60 per month per child aged up to 5 and PLN 80 – per child aged 6-24.
- 4) Supplementary allowance for raising child in large family (3 children and more) – for third and next child – 80 PLN per child per month.
- 5) Supplementary allowance at beginning of the school year – PLN 100 per child - one-off payment per each year.
- 6) Supplementary allowance for undertaking by child education in a school outside the area of the place of residence – PLN 90 – per child per month (if child lives in locality, where the school is located), or 50 PLN – per child per month (if child commutes to a school in a locality other than that of the child's place of residence). The allowance is available for 10 months of school year from September to June.

Birth grant

A single payment in the amount of PLN 1000 for a child since 1st of January 2006 (till 31st of December 2005 - PLN 500) shall be granted on the occasion of the birth of a living child. Since the 1st of January 2013 single payment birth grant is granted if the average monthly net income per capita (after deducting

the social insurance contribution, income tax and general health insurance contribution) does not exceed 1922 PLN.

6.2.2 *Income and earnings disregards*

Family allowance and additional payments to the family allowance are granted for a period of 12 months (1.11 – 31.10), thus the right to benefit is tested once a year.

	Net income criteria per capita (average monthly family net income per capita) in PLN for:	
	families without disabled children	families with disabled children
1 May 2004 - 31 August 2006	504	583
1 November 2012 - 31 October 2014	539	623

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

6.4 *Treatment of particular groups*

6.4.1. *Lone parents*

Lone parents – benefits from the maintenance fund

- It is regulated in the Act on assistance for persons entitled to maintenance of 7 September 2007 (Polish Journal of Laws of 2012, No. 211, item 1228, as amended).
- Benefits from the maintenance fund⁶ is granted to a child (under age of 18 years or 24 if is still in education) or single parents, in case the family net income per capita does not exceed PLN 725 (since October 2008). The benefit equals an amount of alimony awarded by court but it can't exceed PLN 500 per month. The proper authorities are engaged to recover the duties from the parent which is obligated to pay the alimony as to the court decision but does not meet this requirement.
- It is not allowed to combine the supplementary allowance for single parents and the benefits from maintenance fund. The first one is dedicated to single parents if the second of the parents is unknown, is deceased or the maintenance are not been ordered by the court.

6.4.2. *The disabled persons and their caregivers*

Attendance benefits – for families with disabled persons:

⁶ In the case if the one of the child parents does not pay the maintenance.

- 1) Care allowance - 153 PLN per month (for the period of validity of the certificate of disability or of level of disability), for a disabled child, disabled person aged over 16 with a certificate of high or moderate level of disability. It shall be also granted to a person older than 75 – regardless of health condition, unless the person has been granted the nursing supplement for by SII (ZUS). The right to care benefit is granted regardless of the income criterion.
- 2) Care benefit - PLN 1000 per month which is a combination of benefit in the amount of PLN 800 per month and governmental program in the amount of 200 PLN per month realized in 2014), not means tested, for parent or actual guardians or legal guardians of a child or a person who is burdened with a maintenance obligation under the provisions of the Act of 25 February 1964 - Polish Family and Guardianship Code (Polish Journal of Laws of 2012 No 131, item 788, as amended) (i.e. relatives in a direct line and siblings) and resigns from employment due to taking care of a disabled child with a high or moderate level of disability, if the disability incurred by the age of 18 at the latest or during education at school or in the university, however, not later than by the age of 25.
- 3) Special attendance allowance – 520 PLN per month, is granted to person, who is according to the provisions of the Act of 25 February 1964 - Family and Guardianship Code (Polish Journal of Laws of 2012 No 131, item 788, as amended) obliged to pay maintenance and resigns from employment or other gainful employment in due to taking care of a disabled family member with a high or moderate level of disability who needs a permanent or long-term care or assistance of another person in connection with a significantly reduced ability to live independently and need for continuing participation on every day the child's guardian in its treatment, rehabilitation and education. The right to this benefit does depend on income criterion - if average monthly net income (after subtracting the social security contribution, income tax and general health insurance contribution) does not exceed PLN 623 (from 1 November 2014 664 PLN). When determining the net income are taken into account incomes of the family of the person requiring care and the family of the caregiver.

For people receiving care benefit and special care allowance are paid contributions to the pension schemes. The authority realizing benefits pays the pension contribution from the base of the amount of benefit for the time necessary to obtain the insurance period (the 25-year of contributory and non-contributory period).

6.4.3 Parents

Polish system of leaves for working parents comprises of: maternity leave, additional maternity leave, adoption leave, additional adoption leave, parental leave and childcare leave.

According to Polish Labour Code (Polish Journal of Laws of 2014 No 31, item 208, as amended), the employee, employed for at least 6 months is entitled to up to 36 months of childcare leave in order to provide personal care to a child, however, until the child is 5 years old. Each parent has a right to one month of the 36 months of this leave, which is granted on a non-transferable basis. If child holds a medical certificate on disability or level of disability – employee is entitled to additional period of childcare leave up to 36 months. As a rule this type of leave is generally unpaid.

In June 2013 a new kind of leave was introduced paid parental leave of 26 weeks. It enable care of the child by both parents during its first year of life. The cumulated length of maternity, additional maternity and parental leave amounts to 52 weeks of paid leave for a birth of one child. Depending on the request of the entitled person, following levels of payment have been foreseen:

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- without prior declaration as to the taking up all those leaves – 26 weeks of maternity and additional maternity leave paid 100% and 26 weeks of parental leave paid 60%,

- on the condition of prior declaration – one-year leave (52 weeks) – all these leaves paid 80%.

7. Childcare for pre-school children

From 4th of April 2011 Act on care for children under the age of 3 changed the definition of nursery (it is no longer a healthcare institution) and established new forms of childcare – children's clubs, childcare provider and nannies. Nurseries and children's clubs can be established by: commune (gmina), as well as non-public entities, including private persons. A childcare provider is a person employed by a commune (gmina), corporations and organisational units without legal personality (change introduced by amendment of the Act of July 2013), who takes care of not more than five children. The act expects a possibility to finance some part of costs of hiring a nanny - state budget pays the obligatory social insurance contributions to the amount of a minimum wage.

Nurseries, children clubs, childcare providers are for taking care of children under 3 years old, while kindergartens for children between 3 and 6 years old. Attending kindergarten is obligatory for 5 and 6-year-old children. Compulsory schooling generally starts at age of 7. Starting from September 1st 2014 schooling for six-year will become compulsory. From 2009 to 2013 there is a transition period in which and parents can decide whether they want their children to start compulsory schooling at 6 or 7 age years old.

Tasks of care of children under the age of 3 are the tasks of a commune. Fees for public childcare institutions are established by local government and in non-public institutions by itself. Local governments generally cover the cost of 5 hours of childcare a day (without board) in public nursery schools. Parents pay for additional hours and board. In non-public nurseries and nursery schools childcare and board is fully paid by parents.

Such entities as commune and non-public entities, who manage a nursery or a kids club or who employ daycare providers, may (not obligatory) receive an earmarked grant from the commune budget for each child in a nursery or a kids clubs or protected by a daycare provider. These entities may also be supported by (not obligatory):

- earmarked grants from the state budget for co-financing of the own tasks related to the organisation of the care of children under the age of 3 on the conditions specified in the regulations related to public finance,
- ministerial and governmental programmes of development of the institutions responsible for the care of children under the age of 3 and to provide financial support in this respect.

For Children over 3 years of age (kindergarten) the amendment to the School Education Act of June 2013 introduced the limit of 1 PLN (Polish Zloty) for the fee paid by parents for every hour of the child attendance beyond 5 compulsory hours (free). The local governments receive earmarked grants from the state budget to cover the difference between the real costs of those educational services and the amount paid by parents.

Data on childcare in 2009 (as of 31 December 2009):

Children staying in nurseries per 1000 children up to age 3:

2009 – 25,8 children

Source: Statistical Yearbook of the Republic of Poland 2011, 2012 Central Statistical Office

2010 – 26,3 children

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Source: *Statistical Yearbook of the Republic of Poland 2012*, Central Statistical Office

Children staying in nurseries, nursery wards, children's clubs per 1000 children up to age 3:

2011 – 33,2 children Source: *Health and health care in 2011*, Central Statistical Office

2012 – 37,9 children

2013 – 47,6 children Social Assistance, child and family services in 2012, 2013 Central Statistical Office

	Children staying in facilities for children up to the age 3 (as of 31 XII 2011)				
	total	At age of			
		0	1	2	3
Total	40 978	2 650	13 974	20 840	3 237
Public	34 116	2 104	11 812	17 770	2 372
Non-public	6 862	546	2 162	3 070	865
	Children staying in facilities for children up to the age 3 (as of 31 XII 2012)				
	total	at age of			
		0	1	2	3
Total	47 669	3 170	16 190	24 201	3 833
	Children staying in facilities for children up to the age 3 (as of 31 XII 2013)				
	total	at age of			
		0	1	2	3
	55 535	2 302	19 928	28 811	4 252

Source: *Health and health care in 2011*, p. 278., Central Statistical Office

Social Assistance, child and family services in 2012, p. 172., Central Statistical Office

Social Assistance, child and family services in 2013, p. 175., Central Statistical Office

Children attending pre-primary education establishments per 1000 children										
Age:	2000/01	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12
3-6	500	523	537	556	584	594	631	673	699	734
3-5	327	357	382	410	446	473	527	597	646	720
6	972	977	981	976	974	949	945	912	867	778

„Concise statistical yearbook of Poland 2007” p. 251, „Concise statistical yearbook of Poland 2008”, p. 249, „Concise statistical yearbook of Poland 2009”, p. 248, „Concise statistical yearbook of Poland 2010”, p. 254, „Concise statistical yearbook of Poland 2012”, p. 258.

Children attending nursery schools per 1000 children										
Age:	2000/01	2002/03	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11
3-6	388	394	404	416	433	458	479	505	527	538
6	595	577	577	566	555	552	561	542	514	482

“Statistical yearbook of the Republic of Poland 2006, 2007, 2008, 2009, 2010, 2011” Chapter XI Education.

Children in pre-primary education establishments (as of September 2009)				
Total	At age of (year of birth)			
	2 (2007)	3-5 (2004-2006)	6 (2003)	7 and more (2002 or earlier)
994138	16269	649951	317423	10495

Children in nursery schools (as of September 2010)				
Total	At age of (year of birth)			
	2 (2008)	3-5 (2005-2007)	6 (2004)	7 and more (2003 or earlier)
816869	19583	623690	170189	3407

“Education in the school year 2010/2011” p. 167

7.1 Out-of-pocket childcare fees paid by parents

There is no information on average fees or on fees for nurseries. Information on fees is only available at the local level (gmina level). Fees for nursery schools consist of monthly fee (fixed on gmina level and established by local government) and payment for feeding (depends on institutions) There are no statistics on regional levels.

Examples* of fees for rural and rural/urban gminas in 2005 (voivodship level):

Voivodship	Fee for nursery school in 2005
Dolnośląskie	135,60 PLN
Śląskie	70,40 PLN
Łódzkie	133,50 PLN
Wielkopolskie	83,60 PLN
Lubuskie	128,00 PLN
Zachodnio-pomorskie	177,00 PLN
Pomorskie	100,00 PLN
Kujawsko-pomorskie	59,00 PLN
Warmińsko-mazurskie	150,40 PLN
Podlaskie	147,00 PLN
Lubelskie	112,00 PLN
Podkarpackie	101,00 PLN
Małopolskie	172,90 PLN
Świętokrzyskie	107,00 PLN
Mazowieckie	170,00 PLN
Opolskie	97,45 PLN

Examples* of fees for urban gminas in 2005 (voivodship level):

Voivodship	Fee for nursery school in 2005
Dolnośląskie	248,00 PLN
Śląskie	186,34 PLN

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Łódzkie	190,00 PLN
Wielkopolskie	250,00 PLN
Lubuskie	210,40 PLN
Zachodnio-pomorskie	278,00 PLN
Pomorskie	260,31 PLN
Kujawsko-pomorskie	191,40 PLN
Warmińsko-mazurskie	213,60 PLN
Podlaskie	185,00 PLN
Lubelskie	212,80 PLN
Podkarpackie	151,00 PLN
Małopolskie	211,88 PLN
Świętokrzyskie	169,00 PLN
Opolskie	206,24 PLN
Mazowieckie	238,90 PLN

- examples are not representative of all nursery schools in specific voivodship, information was taken only from one unit (one for rural or rural/urban and one for urban gmina) of each voivodships

In the OECD calculations the fees for 2005 for urban gminas in the region of Mazowieckie, that includes the capital Warsaw and take into account information obtained from 32 childcare facilities out of 17229 ones that are in Poland, approximated with 2005-2010 changes in CPI are used. Anecdotal evidence suggest that fees in 2011 are close to double what they were in 2005.

7.2 Child-care benefits

See chapter 6

Child care supplement in the time of parental leave – PLN 400 – per month (for max 24 months, 36 months, if he/she has a custody of more than one child born during the same labour, 72 calendar months if he/she has a custody of a child who holds a disability certificate or a certificate of severe disability). No additional allowance is made for Lone parents.

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

8. Employment-conditional benefits

None

9. Lone-parent benefits

See chapter 6

Supplementary allowance for single parents – PLN 170 – per child per month, to a maximum of PLN 340 per month. Lone parents with disabled children can receive PLN 250 per disabled child per month.

10. Tax system

10.1 Income tax rate schedule

Any individual resident in Poland or on a temporary stay longer than 183 days in a given tax year, is liable to tax on his/her worldwide income, irrespective of the source of that income.

10.1.1 Tax allowances and credits

Work related expenses: standard deductions depend on the number of workplaces and on whether dwelling place and work place are within the same town/city or not.

Annual deductible amounts (in PLN)		
	one workplace	two/more workplaces
same as dwelling place	1335,00	2002,05
different from dwelling place	1668,72	2502,56

Source: www.mf.gov.pl

Basic relief: a tax-reducing amount of PLN 556,02 is available for all taxpayers.

Relief for health insurance contributions: A tax credit is provided that almost equals health insurance contribution paid to the National Health Fund. The contribution is 9.0 per cent of the basis, tax relief is 7.75 per cent of the basis.

Relief for children

On the basis of the amendment of the Act on Personal Income Tax, which has been in force since 1st January 2013, the new model of relief for children is applied.

A taxpayer can deduct from the due tax, decreased by the amount of health contributions specified in the PIT Act, the amount, which is equal for each month of raising a child:

- 92.67 PLN (annually 1 112.04 PLN) for the first child, if the income received by parents (married or single parent, who meets special requirements) doesn't exceed in the tax year the amount of 112000 PLN. For other parent the threshold of income is 56000 PLN,
- 92.67 PLN (annually 1 112.04 PLN) for the second child,
- 139.01 PLN (annually 1 668.12 PLN) for the third child,
- 185.34 PLN (annually 2 224.08 PLN) for the fourth and every next child.

In 2007, the new tax deduction was introduced for parents. Parents can deduct from their tax at most 1112,04 PLN in 2012) per each child. This applies to the income for 2012. This tax relief (tax deduction) is offered for parents paying income tax (farmers and some groups of small business owners are excluded). In the case of low income group e.g. unemployed persons (mother and/or father) receiving unemployed benefits are able to profit from the tax relief.

- 1) For unemployed parents the maximum yearly amount of the child relief is 307 PLN (apart of number of children in the family). The reason of the low rate is that the child relief in a Polish tax

system is a deduction of the tax amount. The unemployed person with yearly income 7946 PLN has a low level of tax what makes very limited child relief at the same time.

- 2) For working parents with 'lower' wages e.g. receiving minimum wage the amount of child relief is limited. In the table 1. for one working parent the maximum child relief equals 471,19 PLN (apart of number of children in the family). The amount of child relief depends on the tax amount and in the case of yearly gross income 13512 PLN the yearly tax amount (after all other deductions) equals 471,19 PLN. Therefore there is no space for higher tax deduction also in the case of family with two or more children. The family can not gain of the maximum child relief because of the low income and simultaneously affects low tax amount and strictly limit the amount of child relief.

Table 1. Minimum wages and child relief in 2010

type of household	number of children	yearly minimum gross wages in PLN	yearly maximum amount of tax (child) relief in PLN
lone parent married couple	1 2 3 4	15.804	557,92
married couple (working spouse) <i>both earnings on the level of minimum wage</i>	1 2 3 4	2*15.804 31.608	1115,85

The table 2. shows the link between gross earnings of parents and the amount of child relief (data 2008). E.g. lone parent with two children can reach the maximum amount of child relief only in the case of yearly earnings equal or higher than 40.440PLN.

Table 2. Relation between the gross earnings and tax (child) relief

type of household	number of children	yearly gross earnings in PLN (equal or higher than)	yearly maximum amount of tax (child) relief in PLN
lone parent*	1	27.870	1112,04
	2	40.440	2224,08
	3	53.000	3336,12
	4	65.590	4448,16
married couple <i>joint tax settlement</i>	1	27.870	1112,04
	2	40.440	2224,08
	3	53.000	3336,12
	4	65.590	4448,16
married couple (working spouse) <i>joint tax settlement</i>	1	30.581,00	1112,04
	2	43.174,00	2224,08
	3	55.735	3336,12
	4	68.300	4448,16

*joint tax settlement - parent together with a dependent child (children)

10.1.2 The definition of taxable income

Gross income minus social security (in case of workers) and the above tax allowances. Gross income is the sum of gross earned income and all benefits, whether cash or in kind (with the exception of family benefits, childcare benefits and social assistance benefits).

10.1.3 The tax schedule

Tax rate in 2012

Tax base in PLN		Tax amount
Over	Below	
-	85.528	18% of the tax base, less a basic tax credit of PLN 556,02
85 528		PLN 14.839,02 + 32% of surplus over PLN 85 528

Source: www.mf.gov.pl

10.2 Treatment of family income

The tax unit is the individual. Couples have the option to file a joint tax return. Spouses, who maintain statutory joint property throughout the fiscal year, and who remain married throughout the fiscal year, may, upon request expressed in joint annual tax return, file the tax jointly on the sum of their income. In such case, tax return is filed in names of both spouses, in the amount of twice the amount of tax due on half of total income of the spouses, however the total does not include revenues taxed on a lump sum basis. The same case applies to single parents, when children have no own income.

Possibility of joint taxation has an impact on reduction of tax amount in case of major differences in levels of income achieved by spouses, or in cases in which one of them has no income at all.

Introduction of this solution was justified by implementation of pro-family policy objectives as well as mitigation of results of tax progressivity in case of disproportionate incomes of spouses.

10.3 Social security contribution schedule

Since 1st January 1999 social insurance contributions are paid by employer and employee.

Social insurance contributions **paid by the employee**, which existed in 2010, are still in force. They are listed in the table below. The contribution rate for disability and survivor insurance until June 2007 was 6.50 per cent of wage before taxation.

Scheme	In per cent of wages before taxation
Retirement	9.76
Disability and survivor	1.50
Sickness	2.45
Health	9.00

Furthermore, health insurance contribution is paid by employees as well. Rate of contribution is 9.0 per cent of wage after deducting social insurance contributions. A portion of health insurance contributions (7.75 per cent of wage after deducting social insurance contribution) are tax deductible.

In the case of pension and disability insurance, contributions are not paid on the part of the wage that exceeds PLN 112 380.

In respect of income paid under an employment contract with a Polish entity, **employers have an obligation to pay social security contributions** equal to 19.94 per cent of gross wage on average. This value consists of:

Scheme	In per cent of wages before taxation
Retirement	9.76
Disability and survivor	6.50
Accident	0.67 – 3.86 (1.13 in 2012 on average)
Labour Fund	2.45
Guaranteed Employee Benefit Fund	0.10

Disability contribution of employer fluctuated from 4,5 per cent in years 2008-2012 to 6.50 per cent from February 2012 (this rate was also in force before 2007).

Accident contribution of employer varies depending on form of activities, risk category and a number of persons notified to work accident insurance. On average (weighted by the number of insured employees) it accounted in 2011 for 1.13 per cent of wages before taxation.

10.4 Treatment of particular group

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. Part-time work

There are no special rules for part-time workers.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2013 – 1st July 2014

1. Parental leave benefit (see Chapter 6.4.3.)

In June 2013 a new kind of leave was introduced i.e. parental leave. The aim of this reform was to enable care of the child by both parents during its first year of life, by introducing a new institution of paid parental leave (of 26 weeks).

2. The change in care benefits and the introduction of special attendance allowance (see Chapter 6.4.2.)

Since the 1st of January 2013 there were some changes in care benefits, which is a benefit for the parents or legal guardians of a child with a disability if the disability of a child occurred until the age of 18 or 25 if the child was in education. Except this – the special attendance allowance was introduced mainly for carers of person with disability if they resign from employment for the purpose of personal care of a dependent person. The latter is means tested.

3. The changes in the Act of 20 April 2004 on employment promotion and labour market institutions, which came into force in May 2014

The changes planned with regard of the act on amendment of the Act of 20 April 2004 on employment promotion and labour market institutions to be in force from the 27th of May consist among others in:

- Different description of the period entitling for receiving unemployment benefit: from the number of months to the number of days – previous 6 months will be replaced by 180 days and previous 12 months – by 365 days.
- Renouncing the hitherto necessary premise of the lapse of 7 days from the day of registration in labour office so that an unemployed person could receive unemployment benefit and – instead – introducing the principle that the entitlement to receiving unemployment benefit starts as of the day of registration in labour office.
- Providing that the period of running the nonagricultural activity by women aged over 55 and men aged over 60, for which these persons are released from payment contributions for Labour Fund, is included into the period entitling for acquiring the right for unemployment benefit.
- Including new periods among those entitling for unemployment benefit:

- the period of rendering services on the basis of activation agreement, referred to in the act on care over children at the age up to 3 years old, of the 4th of February 2011

- the period of receiving family pension in the situation when the person entitled to disability pension and, at the same time, fulfilling the conditions entitling for family pension – makes a choice for family pension (eg. because family pension is higher than the disability pension)

Introduction of a longer (365 days) period of receiving unemployment benefit for single persons bringing-up children, in order to assure their equal treatment in relation to persons who bring up children in families.

12.2 *Future policy changes announced since 1st July 2014*

Changes announced in the expose of the Prime Minister in October 2014:

1. Proportional reduction of the amount of family benefits

This solution is based on a proportional reduction of the amount of family benefits (PLN 1) in the case of exceeding the income threshold of 1 PLN. The solution is to reduce the effective marginal tax rates (Effective marginal tax rates), which in turn can encourage work and to leave the gray zone. Expected date of entry into force: 2016.

2. Parental leave benefit for all not entitled at earlier stage (1000 PLN)

This means the extension of the group entitled to maternity and parental benefits also uninsured persons from the social security system, i.a. the unemployed, contract workers, the students and the farmers. They will receive a new parental benefits for 12 months after the birth. This benefit will be approx. 1000 PLN per child.

Expected date of entry into force: 2016.

In addition to these announcements there are other plans:

1. The changes in income tax relief (child relief) since January 2015

The child relief for families with three and more children are planned to increase (for the third child monthly amount of deduction will be 166,67 PLN/ 2000,04 PLN annually, for the fourth and every next child the monthly amount of deduction will be 225 PLN/2700 PLN annually). The tax relief (92,67 PLN/monthly; 1112,04 PLN annually) for families with one child depends on joint spouse's income (< or = 112000 PLN). For taxpayers who have two or more children the child relief will apply regardless of the income received during the tax year.

It is planned to enables families with 'lower' wages to full tax deduction also in the case of family with two or more children (tax credit).

2. Raising the income criteria for family benefits in November 2014

Since November 2014, the person will be entitled to means tested family benefits if the average monthly net income per capita in the family will not exceed 574 PLN (664 PLN for the family with disabled child).

3. The revision of the amount of the benefits and income criteria in both social assistance as well as family benefits in autumn 2015

4. Increase of the amount of care benefits

From 1 January 2015 to 31 December 2015 care benefit will be increased to 1 200 PLN; from 1 January 2016 will be increased to 1 300 PLN; from 1 January 2017 has been provided for annual indexation of the care benefit, which consists of the annual increase in the amount of the benefit on the percentage rate by which will increase the minimum wage.

5. Further steps in preparing the assumption to the new draft of the law on social assistance in 2015

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the *OECD Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.